



ASSESSMENT OF NON-FARM ACTIVITIES INVOLVEMENT ON THE WELFARE STATUS OF ARABLE CROP FARMERS IN OYO STATE, NIGERIA

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ABSTRACT

Non-farm local activities include all economic activities in rural areas except agriculture, livestock, fishery and hunting. It includes all off-farming activities; processing, marketing, manufacturing, wage and casual local employment in the rural villages. A multistage sampling procedure was used in selecting 140 respondents from 3 local governments out of the 33 local governments in Oyo State, Nigeria. Data were collected using interview guide to elicit information on Socio-economic characteristics, non-farming activities and the effects on arable crop farmers' welfare status. Descriptive statistics were used to describe the selected Socio-economic characteristics of the Arable crop farmers. Pearson product Moment Correlation (PPMC) was used to establish the relationship between the socio-economic characteristics and their welfare status. The mean age of the respondents was 47.0 years, while 71.4 % were literate. The mean household size was 7 persons. Majority 71.4% indicated that non-farming activities were favorable to their welfare status. It was indicated that increase in income (60.7%), ability to feed my family members (85.5%), more participation in social organization (58.3%), having overcome credit constraints (75.7%), surviving with my family members during off season (69.3%) respectively were the effects of non-farming activities on their welfare status. The result of PPMC revealed that there were significant relationships between Age ($r=0.294$, $p=0.011$), Household size ($r=0.228$, $p=0.021$), Income ($r=0.424$, $p=0.016$) and welfare status. The study concluded that non-farm activities impacted positively on the welfare status of arable crop farmers in the study area. It was therefore, recommended that policies and programmes that will stimulate and sustain the interest of young people into arable crop farming as a business should be put in place by governments to divert their interest from non-farming activities and concentrate on cultivation of arable crop in the area, since they have found non-farming as lucrative activities which enhanced their welfare and socioeconomic status.

Introduction

Most rural households depend on agriculture for their primary means of subsistence, such as cultivation of crop, rearing of cattle, or fish. They also engage in other money-generating activities to supplement their primary source of income (Adepoju and Obayelu, 2013). The contribution of non-agricultural activities to household income in the developing world in general and sub-Saharan Africa in particular is substantial. Non-farm

livelihood activities income contributes between 30% and 40% of rural household income in the developing world (Nmeregni et. al., 2019). Various studies have shown that while most rural households are involved in agricultural activities such as livestock, crop, or fish production as their main sources of income, they also engage in other income generating activities to augment their main source of income (Abimbola and Oluwakemi, 2013). The reasons for this observed income diversification include

declining farm incomes and desire to insure against agricultural production risk. Non-farm activities are usually divided into two large groups of occupations: high-labour-productivity that leads to high-income and low-labour-productivity activities that provide only residual source of income. According to Barrett and Reardon, quoted by Agyeman *et. al.* (2014), the pattern of income diversification among rural households in Nigeria, showed that majority of the households have fairly diversified income sources, on the average, only 50% of the total household income is generated from farming, the rest comes from different off-farm sources. However, there are notable differences across income strata. While farming remains the dominant income source for the poorest, off-farm occupation especially self-employed activities are the main sources of income for relatively richer households. Also, households have unequal abilities to diversify their income sources and that education, asset, endowment, access to credit, and good infrastructural conditions, have great potentials to increase the levels of household diversification. These factors improve the opportunity to start own business and find employment in the higher paying non-farm sector. However, the growth of rural non-farm employment is largely attributed to an increase in the proportion of casual workers in an unorganized sector, rather than full time employment or increases the number of rural non-farm producers. Now, the non-farm activities are greatly helping to increase the household income of the rural people but the surveyed literatures do not describe how non-farm activities are generating household income in rural areas and not comparing the contribution of farm and non-farm activities in income generation. Studies have shown that livelihood diversification across the developing world has pointed to the increasing role of non-farm incomes in

poverty reduction (Odoh and Nwibo, 2016). Hence, it is important to carry out a study on the assessment of non-farm activities on welfare status of arable crop farmers in Oyo State, as there appears to be paucity of empirical documented studies in this area. The specific objectives of the study were to; describe the socio-economic characteristics of the respondents in the study area, identify the non-farm activities, the arable crop farmers engaged in, and examine the effects of non-farm activities on arable crop farmers' welfare status in the study area.

Methodology

The study was carried out in Oyo State, Nigeria. Oyo State consists of 33 local government areas. It covers approximately an area of 28, 454 square kilometers. The population of the study comprised all arable crop farmers in Oyo State. A multistage sampling procedure was used in selecting the respondents for the study. Stage one was the purposive selection of 3 local governments because of enormous presence of arable crops farmers in the chosen local governments - Ibarapa central, Iseyin and Saki East Local governments. Stage two involved the selection of three blocks which contains 8 cells each giving 24 cells from the chosen blocks. Stage three was the random selection of 20% of the cells to give 5 cells. From the records of extension agents in the 5 cells chosen, there were 2806 arable crop farmers. Finally, 5% of the 2806 arable crop farmers were randomly selected to give 140 farmers for this research.

Results and Discussion

Socio-economic characteristics of the respondents

The socio-economic characteristics of the respondents were presented in Table 1. The results showed that 40.7% of the respondents fell within the age range of 30 - 40 years, while the mean age was 40

years. This implies that majority of the respondents were in their productive age and can combine many sources of income. This is in line with Rigg *et. al.*, (2020) that young people who remain in rural areas gradually increase their earning by undertaking non-farming work. Table1 further revealed that majority (66.4%) of the respondents have household size of less than 5 persons while 10.0% of the respondents have household of more than 10 persons. The mean household size was 5 people. The result also revealed that apart from farming as the primary occupation, 22.9%, 48.6% and 28.6% of respondents engaged in trading, artisan and civil service as their other sources of income, respectively. Majority (71.5%) of the respondents had one form of education or the other while only 28.5% did not have formal education. This implies that their possession of good education will assist them in adoption of new farming technologies.

Table 1: Distribution of the respondents based on socio-economic characteristics

Characteristics			
Variable	Frequen cy	Percentage	Mean
Age(years:			
Less than 30	38	27.1	40
30 - 40	57	40.7	
41 – 50	30	21.7	
51 and above	15	10.7	
Marital status:			
Single	15	10.7	
Married	65	46.4	
Widowed	60	42.9	
Sex:	94	67.1	
Male	46	32.9	
Female			
Other occupation apart from farming:			
Civil service	40	28.6	
Artisan	68	48.6	
Trading	32	22.9	
Farm Size:			
1 – 6	66	47.1	6
7 – 12	50	35.7	
< 12	24	17.1	
Income from farming:			
> 40,000	48	34.4	67,509.43
40000 – 80000	57	40.7	

< 80000	35	25.0	
Household size:			
1 – 5	93	66.4	5
6 – 10	33	23.6	
Above 10	14	10.0	
Educational Level:			
No formal	40	28.6	
Primary	54	38.6	
Secondary	32	22.9	
Tertiary	14	10.0	
Religion:			
Christianity	26	18.6	
Islam	104	74.3	
Traditional	10	7.1	

Source: Field Survey, 2023

Non-farming activities of the respondents

The distribution of the respondents based on non-farming activities they are involved in, is presented in Table 2. Majority (75.7%) of the respondents engaged in petty trading while (71.4%) were into selling of foods and drinks. Additionally, 42.9%, 32.9%, 32.14%, 28.57% and 14.29% of the respondents were involved in tie and dye production, basket weaving, palm wine tapping business, cement block making and charcoal production in the study area. This implies that they were into one form of non-farm activity or the other to supplement their farming activities. This is in line with Daniel, Bernadin and Edward (2016), that participation in rural non-farm activities exert pronounced impact on agriculture, rural development, income and welfare of rural dwellers.

Table 2: Distribution of the respondents based on non-farming activities engaged in

S/N	Non-farming activities*	Frequency	Percentage
1	Basket weaving	45	32.1
2	Palm wine tapping	46	32.9
3	Petty trading	106	75.7
4	Cement block making	40	28.6
5	Charcoal production	20	14.3
6	Tie and dye	60	42.9

7	Cloth weaving	25	17.9
8	Hair plating	50	35.7
9	Barbing	81	57.9
10	Soap making	79	56.4
11	Palm oil production	61	43.6
12	Politics	90	64.3
13	Carpentry	79	56.4
14	Transportation business	52	37.1
15	Selling of wood	88	62.9
16	Pottery	40	28.6
17	Selling foods and drinks	100	71.4

* multiple responses

Source: Field Survey, 2023

Effects of non-farming activities on the welfare status of the respondents

Table 3 has shown the effect of engaging in non-farming activities on arable crop farmers' status by using weighted mean scores (WMS) and ranking. It was revealed that arable crop farmers claimed that non-farming activities alleviated their poverty level was ranked 1st. Arable also alluded to the fact that non-farm activities assisted them to overcome their credit constraints and was ranked 2nd. Also ranked 3rd was their ability to meet family obligations. Ranked 4th was their having the ability to send children to school while ability to provide amenities for their family ranked 5th. Gaining additional income to support farming activities ranked 6th. Ranked 7th was ability to survive with family during off season. However, having more wives ranked 16th. The decision rule was that those effects with weighted mean score (WMS) of 1.5 and above were those that really affected the arable crop farmers' socioeconomic status while those that have less did not have effect, since the maximum score was 3.0. This implies that non-farming activities have effect on arable crop farmers by improving their socioeconomic status.

Table 3: Distribution of respondents based on the effect of non-farming activities on their welfare status

Statements	Agreed	Undecided	Disagreed	WMS	Rank
Alleviation of poverty	107	29	4	2.74	1 st
Overcoming credit constraints	106	19	15	2.65	2 nd
Meeting family obligations become easier	110	10	20	2.64	3 rd
My children are able to go to school easily	88	47	5	2.59	4 th
Able to provide amenities for my family	107	4	29	2.56	5 th
Additional income to support my farming activities	91	35	14	2.55	6 th
Able to survive with my family members during off season	97	18	25	2.51	7 th
I can support community services	95	19	26	2.49	8 th
I can maintain my health	81	42	17	2.46	9 th
More participation in social organizations	58	62	20	2.27	10 th
My farming enterprise has increased from subsistence level	69	34	37	2.23	11 th
Possession of more	29	107	4	2.18	12 th

valuable materials						
Ability to feed my family members	20	101	19	2.01	13 th	
More prestige and honour in the society	25	49	66	1.71	14 th	
Annual income from farm has reduced	30	25	85	1.61	15 th	
Having more wives	25	5	110	1.39	16 th	

WMS = weighted mean score

Source: Field Survey, 2023

Test of hypotheses

The results of the hypotheses of the study were presented below and stated in null form.

H0₁: There is no significant relationship between the selected socioeconomic characteristics of the respondents and the effect of non-farming activities on their welfare status

The test of significant relationship between the selected socioeconomic characteristics of the respondents and the effect of non-farming activities on their welfare status was presented in Table 4. Pearson Product Moment Correlation (PPMC) analysis revealed that age ($r = 0.294$, $p < 0.05$), household size ($r = 0.228$, $p < 0.05$), farm size ($r = 0.203$, $p < 0.05$) and income ($r = 0.424$, $p < 0.05$) exert a significant relationship with the effect of non-farming activities on their welfare status in the study area. This implies that age, household size, farm size and income were important factors that influence the welfare status of farmers that engaged in non-farming activities in the study area. Therefore, the null hypothesis was rejected.

Table 4: Summary of Pearson Product Moment Correlation analysis showing relationship between selected socioeconomic characteristics and the effects of non-farming activities on their welfare status

Socio-economic characteristics	r-value	p-value	Remark
Age	0.294	0.011	S
Household Size	0.228	0.021	S
Farm Size	0.203	0.007	S
Income	0.424	0.016	S

S = significant;

Source: Field Survey, 2023

H0₂: There is no significant relationship between non-farming activities of the respondents and their welfare status level in the study area

The test of significant relationship between the non-farming activities of the respondents and their welfare status level

in study area was presented in Table 6. Pearson Correlation analysis revealed that there was a significant relationship between the non-farming activities and their welfare status ($r = 0.410$, $p < 0.05$). This implies that non-farming activities contributed to the enhancement of farmers' status and were means of support to their livelihoods. This further confirmed the apriori expectation that non-farming activities had been providing additional income to arable crop famers.

Table 5: Summary of Pearson correlation analysis showing relationship between non-farming activities of the respondents and their welfare status in the study area (n=150)

Variable	r-value	p-value	Remark
Non-farming activities of the respondents and their welfare status.	0.410	0.011	S

S = significant

Source: Field Survey, 2023

Conclusion and recommendations

It can be concluded from the findings that age, household size, farm size and income have significant relationship with the farmers' welfare status. Ability to support community services, ability to feed family members adequately, additional income to farm produce, more participation in social organizations and I have overcome credit constraints were the effects that non-farm activities impacted on farmers' welfare status. Based on the findings of the study, it was recommended that; Policies and programme that will stimulate the interest of young people into arable crop farming as a business should be put in place by all the tiers of government and farming should be made more attractive, so as to avoid total neglect of farming in the area.

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